STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Consolidated Edison Company of New York, Inc. for Electric Service	**Case 25-E-0072**
Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Consolidated Edison Company of New York, Inc. for Gas Service	**Case 25-G-0073**

STATEMENT OF THE CITY OF NEW YORK IN SUPPORT OF THE JOINT PROPOSAL

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PRELIMINARY STATEMENT

The City of New York ("City") submits this Statement in Support of the Joint Proposal filed with the New York State Public Service Commission ("Commission") on November 5, 2025 in the Consolidated Edison Company of New York, Inc. ("Con Edison") electric and gas rate cases. As demonstrated by the pre-filed testimony of the City and other parties in these proceedings, the City's (and many of the other parties') priority has been to ensure that electric and gas rates remain affordable as New Yorkers shoulder compounding increases in the cost of living. However, as buildings and transportation electrify and system-wide electricity demand increases, and because of current economic conditions and the critical need to maintain safe and reliable infrastructure, a rate freeze was not possible. The City appreciates that agreement was reached on a Joint Proposal that recommends rate increases over the next three years that are limited to approximately the rate of inflation, while advancing safety, reliability, and climate goals. For this reason, and because of the other customer benefits included in the Joint Proposal, the City submits that the rate plans set

forth within the Joint Proposal satisfy the requirements of Public Service Law § 65(1) and should be adopted by the Commission.

When viewed in totality and compared to the parties' collective pre-filed testimony, the Joint Proposal is a better outcome for customers than if this matter had been fully litigated. The foremost reason is that litigation would have produced rates for a single year only, whereas the Joint Proposal provides certainty and minimal volatility for a three-year period. Importantly, the rate increases are comparatively small, much lower than the increases initially requested by Con Edison. Additionally, customers will experience benefits that may not have been achieved in litigation, including expanded language offerings for outreach and education materials, continuation of enhanced customer protections from terminations during extreme hot and cold weather, greater transparency, and emphasis on investments and provision of service to Disadvantaged Communities.

In New York City, electric service is a basic human need. For this reason, Con Edison's provision of safe, adequate, reliable, and resilient electricity is of paramount importance and essential to health, safety, and livability. The recommended electric rate plan provides sufficient funding to ensure that Con Edison is able to continue to provide such service and address important public policy goals including, in particular, reducing greenhouse gas emissions. At present, gas service also is critical to preserving the health and welfare of New York City residents and therefore existing gas service must remain safe and reliable. The recommended gas rate plan maintains Con Edison's focus on gas safety, provides sufficient funding to allow Con Edison to continue to provide safe and reliable service, and is structured to limit the expansion of, and continue to curtail,

the gas system in light of public policies that are successfully driving a shift away from gas powered building systems.

For the reasons set forth herein, the City respectfully recommends that the Commission adopt, without modifications, the Joint Proposal as the Company's electric and gas rate plans for the next three years.

PROCEDURAL HISTORY

Con Edison filed requests for increases in its electric and gas revenue requirements and for new electric and gas rates on January 31, 2025 and supported its requests with extensive pre-filed direct testimony ("Initial Filing"). The Company requested a $1.6 billion increase in its electric revenue requirement and a $440 million increase in its gas revenue requirement, both to take effect on January 1, 2026. Those increases were estimated to result in an 11.40% overall bill increase for electric customers and a 13.3% bill increase for gas customers. On April 10, 2025, the Company filed updates to the Initial Filing.

On May 30, 2025, the City and 18 other parties submitted direct testimony in response to the Company's Initial Filing and updates. Notably, the parties' direct testimony recommended significant reductions in requested revenue requirements, and Department of Public Service Staff ("Staff") recommended that the Company's gas revenue requirement be reduced. Con Edison, the City, and seven other parties submitted rebuttal testimony on June 24, 2025.

On June 24, 2025, the Company also filed a Notice of Impending Settlement Negotiations with the Secretary to the Commission. On June 26, 2025, parties to these proceedings commenced settlement discussions regarding the potential to agree upon terms for multi-year rate plans. After numerous negotiating sessions, several parties, including the City, were able to reach agreement

on compromise positions, as reflected in the Joint Proposal. On November 5, 2025, the Joint Proposal was filed with the Commission.

All settlement negotiations were conducted in accordance with the Commission's Settlement Rules, 16 NYCRR § 3.9, and all parties received appropriate notice of all negotiating sessions. The City's understanding is that all interested parties were given an opportunity to participate in the negotiations. This Statement in Support sets forth the basis and rationale for the City's agreement with the Joint Proposal and recommendation to the Commission that it adopt the Joint Proposal's terms and conditions, without modifications, as the Company's electric and gas plans for the next three years.

STATEMENT

THE JOINT PROPOSAL IS IN THE PUBLIC INTEREST AND SHOULD BE APPROVED

A. The Joint Proposal Complies With The Commission's Settlement Guidelines

The Commission has established the following criteria for evaluating a joint proposal: (a) the extent to which a joint proposal is supported by adverse parties; (b) whether the record for the decision is adequate; and (c) whether the settlement is consistent with the law and public policy, has a rational basis, balances the interests of customers and shareholders, and compares favorably with the probable outcome of litigation.[1] The Commission should adopt the Joint Proposal because it satisfies these requirements.[2]

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[1] Case 90-M-0255, Proceeding on Settlement Procedures and Guidelines, Opinion No. 92-2 (issued March 24, 1992).

[2] The City's Statement focuses on the issues of greatest importance to the City. Any omission herein of any issue resolved in the Joint Proposal should not be construed as a lack of support for it.

First, all parties received sufficient notice of the settlement negotiations, as required by 16 NYCRR § 3.9(a). Con Edison routinely circulated emails to all active parties advising them of upcoming dates for negotiations sessions. With the exception of one in-person meeting held on August 5, 2025, all meetings were held virtually. At the in-person meeting, parties had the opportunity to participate in-person, online, or by phone. For all other meetings, parties could participate online or by phone. Given the number of parties involved, it was challenging to select meeting dates that accommodated all parties' schedules. However, reasonable efforts were made to do so.

Second, there is broad support for the Joint Proposal. The Joint Proposal is supported by a diverse set of parties representing a broad range of interests that are often adverse, and include the City, Con Edison, Staff, consumer groups, retail energy suppliers, environmental organizations, and others.[3] Several other parties to these proceedings have indicated that they will not oppose the Joint Proposal.[4] The City is aware that a few parties oppose the Joint Proposal. It does not know the basis for some of those parties' opposition.

Third, the record in this proceeding provides a rational basis for concluding that the provisions set forth in the Joint Proposal are justified and appropriate. The City submits that the record adduced to date, plus the additional record being developed via the Statements in Support and the upcoming evidentiary hearing, will be adequate to justify adoption of the Joint Proposal.[5]

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[3] Cases 25-E-0072 and 25-G-0073, Con Edison Company of New York, Inc. – Electric and Gas Rates, Joint Proposal (filed November 5, 2025) at 1.

[4] *Id.*

[5] The City notes that there has been some confusion as to what constitutes the record in these proceedings. It has been the City's understanding, supported by long-standing Commission

Fourth, the resolution of the disputed issues reflected in the Joint Proposal is within the bounds of a litigated outcome of these proceedings. This assertion is proven by comparing the settling parties' pre-filed direct and rebuttal testimony with the provisions of the Joint Proposal. In particular, the revenue requirements, return on equity, capital structure, shareholder incentives, performance metrics, and improvements in the Company's provision of service to its customers are within the range bounded by the Company's and the parties' testimony.

The remaining Commission criteria for judging the reasonableness of a joint proposal are directed towards ascertaining whether the proposed terms are in the public interest. For the reasons discussed below, the Joint Proposal satisfies the Commission's standards.

B. The Joint Proposal Balances The Interests Of Customers And Shareholders And Is Superior To A Litigated Result

The Joint Proposal is intended to be, and should be read, as a comprehensive proposal that resolves numerous issues that arose during the course of these proceedings. If considered individually, certain provisions may appear biased in favor of one party or a group of parties. However, such a view of the document is inappropriate. The provisions must be considered conjunctively, with each supporting the others.

In viewing the Joint Proposal in this manner, the Commission can and should conclude that its terms and conditions are consistent with and in furtherance of achievement of the goals of Climate Leadership and Community Protection Act ("CLCPA"), as well as Local Law 97 of 2019 of the City of New York and other policy goals and legal requirements. The Joint Proposal fairly

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practice and precedent and case law, that the administrative record upon which the Commission may base its decision includes all of the pre-filed testimony, statements, briefs, documents admitted into evidence, hearing transcripts, and other materials filed electronically or in hard copy with the Commission.

and reasonably addresses the needs of Con Edison's electric and gas customers, the positions advanced by parties, and the interests of shareholders. The Joint Proposal satisfies the requirements of Public Service Law §65(1) in that it ensures that Con Edison will be able to continue to provide safe and adequate service to its customers for the next three years at rates that generally track the rate of inflation and should not significantly exacerbate the burdens of utility costs.[6] Therefore, the proposed rates can be considered reasonable. The Commission should find that the Joint Proposal is in the public interest and adopt its terms and conditions, without modification.

1. Revenue Requirements and Affordability

Presently, Con Edison's electric and gas rates are barely or not affordable for many New York City residents and small businesses. As noted above, and demonstrated by the pre-filed testimony of the City, Staff, and several other parties, minimizing as much as possible utility rate increases to reduce their contribution to the pressures that are driving up the cost of living and doing business in New York was the paramount goal in these rate cases. With this goal in mind and, as a result of the pre-filed testimony and settlement negotiations, the increases initially proposed by Con Edison were substantially reduced. These reductions will help prevent customers from being unduly burdened.

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[6] The Commission set a goal that customers' utility costs should not exceed six percent of their household income. Case 14-M-0565, Proceeding on Motion of the Commission to Examine Programs to Address Energy Affordability for Low Income Utility Customers, Order Adopting Low Income Program Modifications and Directing Utility Filings (issued May 20, 2016) at 3.

For residential customers who are encountering the most difficulty in paying their bills, the Energy Affordability Program and the recent restoration of Low Income Home Energy Assistance Program funding by the federal government will provide additional, much needed assistance.[7]

The demand for electricity in Con Edison's service territory is expanding due to several factors, including pursuit of the City and State's public policy goals, a growing customer base, and increasing use of electronic devices and appliances, electric building systems, and electric vehicles. As a result, Con Edison plans to make annual capital investments over the next three years that exceed the amounts it has ever spent historically and exceed the total annual capital investments to be made collectively by all of the State's other major electric utilities over the same time period. The costs of construction, operations, and maintenance of infrastructure continue to rise, as are Con Edison's overall operating costs. For these reasons, it was not possible to freeze Con Edison's electric rates and still provide sufficient revenues to ensure that the Company is able to provide the same highly reliable and sufficient service that customers expect.

While the demand for gas is not growing in a similar fashion, and efforts are being made to reduce the use of natural gas, Con Edison must continue to make substantial capital investments to preserve the safety of the gas system. Indeed, replacing leak-prone gas mains and services comprises the majority of the Company's planned capital spending over the next three years. As

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[7] It is important to recognize that there is a group of customers who can be energy cost burdened but who do not receive public assistance or are not eligible to participate in Con Edison's low-income discount programs because their income is just above the thresholds to quality for assistance, or other factors. As energy costs continue to rise, so will the number of customers whose energy costs exceed the Commission's six percent of income target level. Even the modest increases set forth in the Joint Proposal can have detrimental effects on these customers. It is imperative that the Commission do everything it can to minimize additional rate increases that can exacerbate the household energy cost burden for low and moderate income New Yorkers.

in the electric business, the costs of materials, installations, operations, and maintenance continue to rise. While the City submitted testimony supporting reductions to the Company's gas capital spending, and Staff submitted testimony recommending an overall decrease in the gas revenue requirement, those positions related only to 2026. When information regarding 2027 and 2028 was considered, it became clear that a rate freeze for all three years would not allow Con Edison to provide safe and adequate gas service.

To reduce volatility and minimize bill impacts, the settling parties agreed to spread the rate decreases and increases over the three-year terms of the rate plans in a manner that would keep the bill impacts relatively constant.[8] Accordingly, the Joint Proposal recommends increases to electric and gas rates that would produce total annual bill impacts of 2.8% and 2.0%, respectively.[9]

To put these increases in perspective, the electric rate increases are 75% less and the gas rate increases are 85% less than the amounts initially sought by Con Edison. Moreover, the level of the annual increases is approximately equivalent to the current rate of inflation. That is, the total bill percentage increases are at or below the Consumer Price Index for the 12 months ending September 2025.[10]

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[8] It is important to note that the calculations of the bill impacts assumed that commodity costs would remain constant each year. The City understands that doing so has been a standard convention of Con Edison and Staff to avoid arguments over future commodity prices – prices which are not part of these proceedings and are overseen by the Federal Energy Regulatory Commission. The delivery rates will not be adjusted if commodity rates change, and the actual bill impacts could deviate from the numbers projected in the Joint Proposal.

[9] Joint Proposal at 4-5, 10-11.

[10] *See* Bureau of Labor Statistics, Economic News Release: Consumer Price Index Summary (issued October 24, 2025), *available at* https://www.bls.gov/news.release/cpi.nr0.htm.

Inasmuch as the Commission is required to balance customer and shareholder interests, the City submits that the proposed revenue requirements and provisions of the Joint Proposal are fair to Con Edison's shareholders. First, Con Edison will benefit from a predictable revenue stream for three years that will facilitate the investment decisions necessary to continue providing safe and reliable service. Second, Con Edison has been able to provide safe, adequate, reliable, and resilient utility service at its existing rates, and the Joint Proposal increases the revenues the Company receives. Therefore, there should be no issues regarding the Company's ability to continue to do so. Third, the Joint Proposal provides for several reconciliations of projected and actual costs, as well as the ability to recover some costs if they exceed the amounts included in the revenue requirements. These provisions benefit shareholders, but the Commission should carefully police their use to ensure that they do not unduly burden customers and that the Company is properly and prudently managing its spending.

Issues arose in these proceedings regarding the overlap of other proceedings, including but not limited to Case 24-E-0364, Proactive Planning for Upgraded Electric Grid Infrastructure. As a general matter, the City believes that capital spending on infrastructure should be proposed within rate cases absent extenuating circumstances, and that the Commission is unnecessarily exposing customers to unduly burdensome bill increases by allowing the utilities to seek recovery of capital expenditures in multiple proceedings and without consideration of offsetting savings (as occurs in rate cases). Specifically, the City does not believe Con Edison should be permitted to seek recovery of any costs in another proceeding for projects considered in these rate cases but not

reflected in the final revenue requirements in the Joint Proposal.[11] For projects that were proposed, reviewed, and determined to be excluded from the capital spending plans upon which the revenue requirements were based, such projects are unlikely to be considered urgent or critically needed over the term of these rate plans. Should such a project become urgently or critically needed, the Company can reallocate funds within its capital budget to cover the project or, as appropriate, file a petition with the Commission.

Similarly, the financial metrics included in the Joint Proposal are fair and reasonable. The return on equity is modestly higher than the Company's currently-allowed return on equity. The capital structure would remain the same. While the City would have preferred a lower return on equity, the City understands that the 9.40% recommended in the Joint Proposal reflects current market conditions.

Overall, the revenue requirements and financial metrics are within the range of a litigated outcome, as demonstrated by the extensive pre-filed testimony included in the record of these proceedings. Moreover, the rate stability and certainty provided by the three-year rate plan recommended in the Joint Proposal provides more benefits for customers and shareholders than the one-year rate plan that would have resulted from a litigated outcome.

For all of these reasons, the Commission should find that the Joint Proposal strikes a fair balance between the interests of customers and shareholders, is supported by the record in these proceedings, is superior to a litigated outcome, and is in the public interest.

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[11] As noted in Sections D.1.a and D.2.a and Appendix 11, Attachment 1 of the Joint Proposal, the Company has flexibility to modify its capital spending plans. This flexibility includes adding and removing projects.

2. Low-Income Customers

The Commission has long recognized the burdens energy costs can place on low-income customers, and it appropriately has adopted robust programs to provide aid to customers to attempt to keep their energy cost burdens at or below six percent of their household income.[12] The Joint Proposal appropriately continues to ensure that there are no limitations on participation levels in the Company's Energy Affordability Program, and the monthly discount levels will not be reduced as more customers join the Program.

In order to facilitate enrollments in Con Edison's Energy Affordability Program, and in furtherance of achieving the Commission's six percent target, the City has worked closely with Con Edison and performed periodic matches of its Human Resources Administration records to Con Edison customer rolls. These matches identify eligible customers, and after providing the customers notice and an opportunity to opt out, the customers are automatically enrolled in Con Edison's Program. Recently, the City has worked with Con Edison, DPS Staff, and others to simplify enrollment processes for eligible New Yorkers who are not automatically enrolled. The Commission should continue to support these efforts and help ensure that all eligible customers are able to easily and quickly access the benefits provided by the Energy Affordability Program. Additionally, the Commission should support and encourage the utilities and other stakeholders to develop methods to identify and reduce energy cost burdens for households whose incomes are just above the eligibility threshold of the Energy Affordability Program. For all of these efforts, the City submits that targeted approaches are superior to blunt approaches. That is, providing

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[12] *See* Case 14-M-0565, *supra*, wherein the Commission adopted and modified utility low-income programs over the past nine years to attempt to achieve the six percent target.

support specifically to customers who need it is a better approach than generally cutting funding levels or terminating projects that would benefit all customers.

While any increase in utility rates presents challenges particularly for low-income customers, the relatively small increases set forth in the Joint Proposal, as discussed above, should minimize the incremental impacts on low-income customers. Certainly, the agreed upon increases will be less burdensome than the increases sought in the Initial Filing. Notwithstanding the reductions achieved, hundreds of thousands of Con Edison customers are energy cost burdened (*i.e.*, have energy costs in excess of six percent of their household incomes). The City strongly urges the Commission to implement all reasonable measures to ease the burdens on these customers. While the Company's agreement to amend its electric and gas tariffs to eliminate reconnection fees following service terminations for customers enrolled in the Energy Affordability Program and also continue the Low- and Moderate-Income Energy Efficiency Programs are good examples of measures that can help, more is needed.[13] The Commission also should work with the Governor and Legislature to provide relief other than through programs funded by utility customers.[14]

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[13] It is important that the measures are properly tailored and provide meaningful benefits. While the City appreciates the Commission's efforts to provide equal access to electric vehicle throughout Con Edison's service territory, very few low-income New Yorkers own vehicles. Efforts should be focused on measures that directly benefit these customers, such as energy efficiency and weatherization programs.

[14] The costs of utility programs are borne by utility customers. Providing relief to some customers via utility programs therefore increases utility bills for all customers and has the potential to exacerbate energy cost burdens.

3. Customer Protections and Accessible Outreach

At the urging of the City, the Joint Proposal contains several provisions regarding improvements to customer protections and the Company's service to its customers. First, New York City is very diverse, and many New York City residents/Con Edison customers do not use English as their primary language. New York State has recognized the need to provide information to New Yorkers in multiple languages via the enactment of the Language Access Law, Executive Law § 202-a. The State has identified the top 12 languages commonly spoken in New York, and State agencies must translate documents into all of those languages; they also must offer interpretation services for people who speak other languages.[15] The City has recognized the same needs and enacted Local Law 30 of 2017, which requires city agencies to, among other things, develop language access implementation plans and translate their most commonly distributed documents into Spanish, Chinese, Russian, Bengali, Haitian, Korean, Arabic, Urdu, French, and Polish.[16]

In the previous set of rate cases, the City was successful in getting Con Edison to provide certain materials in several languages. In these proceedings, the City expanded on its prior successes. The Joint Proposal requires Con Edison to provide outreach materials and other common documents in the same 12 languages used by State agencies.[17] The Company also will ask prospective customers about their language preferences and create a new Language Assistance

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[15] *See, e.g.*, https://ogs.ny.gov/know-your-rights.

[16] *See, e.g.*, https://www.nyc.gov/site/civicengagement/about/language-access-plan.page.

[17] Joint Proposal at 83-84.

website to enhance the ability of Con Edison to communicate with its customers in language they can understand and the ability of customers to obtain information that they can easily understand.[18]

The City continues to believe that it is increasingly important for customers and the Company to be able to effectively and meaningfully communicate with each other. These language access provisions should go a long way towards improving Company-customer interactions, thereby facilitating the ability of customers to access utility services and programs. Ultimately, these improvements are expected to contribute to customer decisions on energy efficiency, electrification, participation in low-income programs, and more.

Second, many residential customers, and not just low-income customers, are concerned about using electricity and gas – particularly during periods of very hot or very cold weather – out of fear that they will not be able to afford their utility bills. During periods of extreme weather, it is critical for customers' health and well-being to use heating or cooling, as applicable. To help customers overcome this fear and ensure that customers will not lose service when it is most critically needed, the City has strongly supported stronger customer protections during very hot and very cold weather, and increased outreach to help customers avoid service terminations. The City submitted pre-filed testimony advocating for (1) stronger protections against termination during very hot and very cold weather, (2) the inclusion of information about energy affordability programs and deferred payment agreements on final termination notices, and (3) accessible outreach, as discussed above.[19]

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[18] *Id.*

[19] Cases 25-E-0072 and 25-G-0073, *supra*, Pre-Filed Direct Testimony of New York City Policy Panel (filed May 30, 2025).

The Joint Proposal recommends maintaining existing cold-related protections for customers for the period from November 1 through April 15.[20] As an interim measure while parties and customers await action in the Commission's statewide proceeding for extreme heat protections,[21] the Joint Proposal recommends maintaining the existing hot weather provisions for suspension of residential service terminations due to non-payment during periods of high temperatures.[22]

To improve heat protections, the Company will use the highest heat index of the data from the National Weather Service weather stations at Central Park, LaGuardia Airport, and JFK Airport.[23] Due to the urban heat island effect, during periods of hot weather parts of the City that are denser and covered with impervious surfaces like asphalt, roofing, and cement can be several degrees hotter relative to less dense areas and green spaces because they absorb incoming solar radiation and trap heat. Monitors at paved airports are more representative data sources for conditions experienced by many customers than the data from Central Park, alone, during hot weather and increase the effectiveness of the protections.

The continuation of and improvements to existing customer protections during very hot or very cold weather contribute to other State and City actions to protect New Yorkers from extreme

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20 Joint Proposal at 89-91.

21 Case 25-M-0586, Proceeding on Motion of the Commission for the Establishment of Extreme Heat Protections, Practices and Procedures. Comments were submitted in this proceeding in August 2025 (the City submitted supplemental comments in early September), and this matter is now ready for a decision by the Commission. The City respectfully urges the Commission to consider and decide this matter early in 2026 so that enhanced protections can be fully implemented well in advance of hot weather periods.

22 Joint Proposal at 89-91.

23 *Id.* at 90.

temperatures and reduce related illness and death. Together, the weather-related protections in Joint Proposal represent a reasonable compromise of party positions, are within the boundaries of a litigated result, and secure important customer protections and enhance public health and safety. For these reasons, they should be adopted without modification.

Third, consistent with positions advanced by the City, the Joint Proposal includes additional provisions to help customers avoid terminations altogether. The Joint Proposal requires Con Edison to provide information about the Energy Affordability Program and deferred payments agreements to residential customers on its final termination notices by directing them to www.coned.com/billhelp either through a QR code or a web address.[24] The Company also will update its final termination notices by adding language blocks in the 12 languages other than English most spoken in the Company's service territory. The language blocks will state that the document is a termination notice and the recipient should have it translated and also include a QR code or web address that will take customers to the new Language Assistance website the Company will develop.[25]

4. Disadvantaged Communities

In these proceedings and the previous set of rate cases, the City conducted analyses that revealed concerns regarding the number of outages experienced in some Disadvantaged Communities as compared to other areas. At the City's urging, and consistent with the CLCPA's emphasis on equity for residents in Disadvantaged Communities, the 2022 rate cases adopted a process requiring the Company to provide annual reporting on capital investments, outages, energy

[24] *Id.* at 84.

[25] *Id.* at 83-84.

efficiency and electrification efforts, clean energy spending, programs being marketed to and implemented within Disadvantaged Communities, and more. These annual reports, for the first time, provided thorough information on the Company's activities in Disadvantaged Communities.

The Joint Proposal builds on the success of the existing reporting requirements by including certain refinements for additional transparency into how Company funds were spent in each of the areas outlined in the reporting requirements.[26] These enhancements will provide a more comprehensive view of the Company's activities and allow the Commission, Staff, the City, and others to monitor the nature and extent of the investments made in Disadvantaged Communities and help ensure that residents in Disadvantaged Communities are receiving an equitable share of system improvements and benefits resulting from such investments. The information also can be used to confirm that Con Edison is complying with the CLCPA requirement that Disadvantaged Communities are not disproportionately burdened as compared to other communities.

5. Bill Transparency

The Joint Proposal contains a provision to add more information to customers' bills driven by an intent to improve bill transparency. As a general principle, the City strongly supports efforts to increase transparency and improve customers' understanding of their utility bills. Consistent with the principle of transparency, customers should be made aware of all of the primary costs that are incorporated into utility rates. However, providing limited information singling out individual cost drivers of utility bills could lead to unnecessary confusion and misunderstandings. It is important that customers be provided with clear and complete explanations regarding the components of their bills. For example, simply noting the level of property taxes but not explaining

[26] *Id.* at 106-116.

that the property taxes are directly linked to the level of the Company's capital investments, or that the property taxation scheme is mandated by State law, would not be helpful to customers' understanding of their bills.

It is important that the information contained on the bills avoid creating confusion or misunderstandings, and that bills clearly direct customers to the Company's website for more details. The website should explain in plain language all of the primary drivers of customers' utility costs, and it should not be limited to identification of a single factor. Con Edison has committed to working with the City and other parties on the content to be provided. The City looks forward to working with the Company, Staff, and other parties regarding this matter.

6. Shareholder Incentives

As discussed above, in setting rates, the Commission must balance customer and shareholder interests. The primary value shareholders receive is a fair, market-based return on their investments. For many years, this return was considered to be sufficient to satisfy shareholders' interests. More recently, the Commission decided to provide enhanced earnings opportunities and incentives to shareholders to influence their behavior.

The City has long opposed many, but not all, of these incentives because they create extra burdens on customers who already have difficulty affording utility service. Many of the incentives are designed in a manner that customer benefits are mostly conceptual, whereas shareholders recover actual dollars from customers. That is, customers do not realize actual reductions in their utility bills, but they do experience higher bills because they must pay the shareholder incentives. Moreover, the targets associated with the shareholder incentives are sometimes set at very low levels of incremental performance, making them easily achievable.

As a general principle, positive shareholder incentives should be available, if at all, only for achieving superior levels of performance or stretch targets that require extra efforts by the Company. Moreover, there should not be any costs imposed on or recovered from customers associated with achieving the targets. If the incremental costs are fully recoverable, then shareholders bear no risks and should not be entitled to any rewards.[27]

In the Joint Proposal, the shareholder incentives have been significantly curtailed. This is a positive development for customers, and the reduced scope of incentives should not adversely impact Con Edison's provision of safe and adequate service or hamper achievement of the State's policy goals. For example, there no longer is any need to reward Con Edison's shareholders because its customers are buying energy efficient light bulbs. With respect to managed charging for light duty electric vehicles, Con Edison was unable to demonstrate that its shareholder incentives contributed to any meaningful difference in customers' behavior. Therefore, there is no justification to continue those incentives.

For gas safety, the existing positive shareholder incentives are proposed to be discontinued, but the negative revenue adjustments are continued to prevent backsliding and ensure the Company maintains a focus on gas safety. Maintaining a safe gas system is a fundamental statutory obligation for Con Edison, and the City has always disagreed with the notion of rewarding shareholders for gas safety measures. Therefore, the elimination of the positive incentives is a good development.

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[27] Negative shareholder incentives, or negative revenue adjustments, are very different. If Con Edison does not perform at the levels upon which its revenue requirements are based, but it is still collecting the full revenue requirements, its shareholders are being unjustly enriched. Negative revenue adjustments protect against unjust enrichment while providing inferior service.

However, as noted above, the City acknowledges that superior levels of performance may justify an incentive. Here, the settling parties recommend that if Con Edison performs at a superior level on its gas safety metrics, it could receive offsetting credit adjustments that can be used solely to reduce negative revenue adjustments. The Joint Proposal is clear that under no circumstances will shareholders receive any payments or other revenues from customers, and the credits cannot be carried over from year to year.[28]

The City sees this structure as providing benefits to both customers and shareholders. Customers will benefit if the Company provides superior performance, and because they will not be burdened by the cost of any positive shareholder incentives. Shareholders will benefit because the Company has the opportunity to reduce its exposure for poor performance. Moreover, since there is no expectation that the Company will perform poorly and incur negative revenue adjustments, there is no downside to this proposed structure.

While the Joint Proposal does not adopt the City's primary recommendation to discontinue all earnings adjustments mechanisms, it nevertheless contains fewer incentives, requires superior utility performance, and each incentive offers tangible benefits for customers by supporting grid flexibility or improving interconnection timelines for certain building and transportation electrification projects. For this reason, the City is willing to support their inclusion in the Joint Proposal.

The City offers one further observation regarding the electric performance metrics. In the 2022 rate cases, it became clear that there was a need for significant improvement in timeframes involved in providing electric service for electric vehicle charging and to buildings seeking to

[28] Joint Proposal at Appendix 18, p. 7.

electrify. For example, a customer seeking high tension service could wait five to six years or more for the connection to be completed. Such long delays in Con Edison's provision of service are unacceptable. A performance metric was put in place that solely included positive revenue adjustments. The Company's annual reports, and information provided in discovery in these proceedings, indicate that there has been only modest success in reducing the timeframes. An expanded performance metric is recommended in this Joint Proposal, and the City supports providing a positive inducement to Con Edison to improve its performance.

Con Edison's core function as an electric utility is to provide electric service to its customers. Because this is a monopoly service, customers have no choice but to seek service from Con Edison. No customer should have to wait multiple years for electric service. In the event the proposed metric does not result in material improvements in Con Edison's performance over the next three years (and over a period of six years in total since the metric was instituted), the City may propose instituting negative revenue adjustments or other measures to induce Con Edison to focus on this core function and timely provide service to its customers. The Commission should closely monitor the Company's performance, and it should step in and require improvements if the Company does not make them voluntarily. The Commission has the authority and responsibility to do so, and it should be exercising that authority as necessary to protect customers.

7. Streetlight Issues

The City owns and operates hundreds of thousands of streetlights and traffic signals, and most of which are powered by Con Edison. When a streetlight or traffic signal stops working, public safety may be placed at risk. For this reason, it is imperative that the device be restored to service as quickly as possible. Sometimes, the issue is within the device or the pole and is the

responsibility of the City. Other times, the problem arises within the electric wire feeding the pole, which is the responsibility of Con Edison. For a long time, and as recently as last year, Con Edison was not timely repairing its wires, jeopardizing public safety.

In the 2019 rate cases, a performance metric was instituted at the urging of the City to incentivize and induce Con Edison to effect repairs on a timely basis.[29] That metric has helped, and Con Edison has become more responsive. However, additional improvements are needed, and the City submitted testimony in the electric proceeding advocating for strengthening the metric and making other improvements to ensure electric service to streetlights and traffic signals is restored expeditiously.[30]

While the Joint Proposal does not adopt all of the City's recommendations, it includes provisions to address the City's concerns. Specifically, it recommends continuing the existing performance metric,[31] and it calls for a Memorandum of Understanding between Con Edison and the City concerning urgent repairs and for the Company to complete those repairs as soon as possible.[32] The City is cautiously optimistic that these provisions will be sufficient to ensure Con Edison management improves its attention to the crucial work of timely restoring power to streetlights and traffic signals as a matter of public safety. There can be no dispute that timely restoring electric service to streetlights and traffic signals and maintaining public safety are in the

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[29] *See* Case 19-E-0065, Consolidated Edison Company of New York, Inc. – Electric Rates, Joint Proposal (filed October 18, 2019) at Appendix 14.

[30] *See* Case 25-E-0072, *supra*, Direct Testimony of New York City Witness Felicia Tunnah (filed May 30, 2025).

[31] Joint Proposal at 65, and Appendix 17 at 2, 4, 16-17.

[32] *Id.* at 73.

public interest. Accordingly, these provisions should be adopted by the Commission without modification.

Separately, for decades there have been issues between Con Edison and the City regarding identification of streetlights, responsibility for repairs, and tracking work. In the early part of this century, Con Edison and the New York City Department of Transportation, with assistance from Department Staff, developed and implemented a registry of all streetlight and traffic signal poles within New York City. This registry worked well and helped to reduce issues between the parties, but there is now a need to update or replace the registry with modern technology, increased functionality, and greater accuracy.[33]

The registry serves the needs of both Con Edison and the City. Con Edison uses it for billing purposes and to track and identify poles requiring service. An enhanced registry that leverages current technology can provide enhanced benefits to Con Edison, including but not limited to pinpointing locations, scheduling and tracking repairs, identifying third-party attachers to each pole (to facilitate Con Edison billing each one for electric service), and more accurately maintaining inventories of poles and the devices on the poles for billing purposes. Because of the shared benefits of a new registry, the City believes that the cost of the new or upgraded registry should be split between it and the Company.

The Joint Proposal contains provisions that support initial steps towards upgrading or replacing the registry. Con Edison and the City will work together on an assessment of the

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[33] For example, the registry identified poles on a locational basis compared to nearby landmarks. Over time, those landmarks have been removed or changed, leading to problems in identifying no-current situations to the other party (especially during the day when the lights are off). Now, it is possible to use a handheld device to quickly geolocate each pole with pinpoint accuracy, eliminating confusion over which pole or poles require attention by the other party.

deficiencies and improvements that can be made, and to develop an estimate of the cost of the upgrades or replacement. The City is optimistic that this initial work effort will result in immediate improvements and provide adequate justification in the next electric rate case for funding to support the total project. An enhanced registry will help to maintain and improve public safety, and these provisions are therefore in the public interest and should be adopted by the Commission without modification.

8. Billing Issues

In the 2022 rate cases, the City raised numerous concerns with Con Edison's billing practices, particularly the large number of estimated, delayed, and anomalous bills. Performance metrics were established, and the Company agreed to take steps to resolve the billing problems. While some progress was made, the Company reassigned employees to other functions and the billing problems were not resolved. Therefore, the City again submitted testimony on the continuing billing problems it has been experiencing.[34]

In 2025, Con Edison made progress in resolving the pending billing problems. While the City appreciates the Company's efforts, it appears that the efforts were largely driven by these rate proceedings. The City needs to see billing issues timely resolved, not just in the year a rate case is being negotiated.

To address the City's concerns, new procedures were developed.[35] The City is cautiously optimistic that the progress which occurred during the pendency of the rate cases will continue,

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[34] Cases 25-E-0072 and 25-G-0073, *supra*, Pre-Filed Direct Testimony of New York City Billing Panel (filed May 30, 2025).

[35] Joint Proposal at 91-93.

and that its billing issues will be resolved as they arise. Additionally, the Company agreed to coordinate with the City regarding implementation of a new interface between its and the City's computer systems. Importantly, the Company agreed to maintain its existing interface during the transition and to delay the implementation if problems arise with the new interface.[36]

While these provisions of the Joint Proposal do not affect all customers, they are critically important to the City, which is Con Edison's largest customer. The Commission should find them to be in the public interest and adopt them as presented. Moreover, the Commission – through Staff – should monitor Con Edison's billing practices and step in as necessary to direct corrective action to be taken. Con Edison receives substantial funding through rates to provide timely and accurate bills, and the Commission has the authority and responsibility to oversee and correct Con Edison's billing practices.[37]

9. Other Provisions

Several other provisions of the Joint Proposal warrant specific mention. First, Con Edison will discontinue its Differentiated Natural Gas Pilot Program.[38] There was extensive opposition to that program, as it unnecessarily increased costs to customers for the purchase of natural gas. The gas purchased was not in any way different from other natural gas purchases, and Con Edison customers should not be forced to pay more for upstream suppliers to engage in prudent and environmentally responsible best management practices.

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[36] When Con Edison implemented the existing interface, there were numerous problems and it took three years to resolve them and make the interface fully functional. The City is seeking to avoid a similar experience with the new interface.

[37] *See, e.g.,* 16 NYCRR §§ 11.13, 11.14, 13.8, 13.9, and 13.11.

[38] Joint Proposal at 81.

Second, the Joint Proposal includes that Con Edison will provide building-level energy data to building owners at no cost, thereby helping them satisfy their obligations under Local Laws 84 and 97 in New York City and similar requirements in Westchester County. As demonstrated by the multiple data access proceedings instituted by the Commission, and the current Integrated Energy Data Resource effort being undertaken by the utilities and New York State Energy Research and Development Authority under the direction and oversight of the Commission,[39] access to energy data is becoming more important to using energy more efficiently. Building owners and utilities are able to benchmark energy use, identify opportunities for efficiency measures, and reduce both peak and overall demand. Doing so reduces energy costs for customers, stress on the electric system (especially during periods of peak use), and harmful greenhouse gas emissions.

Third, the Joint Proposal provides for improvements to the Company's reporting on greenhouse gas emissions and emissions reductions.[40] These improvements will allow the Commission, the Company, the City, and others to track and monitor the Company's actions in furtherance of the CLCPA and Local Law 97. By requiring more granular information to be reported, it should be easier to determine whether certain investments are producing the expected and desired results. The reporting can then lead to and inform adjustments to programs and projects, as needed.

Fourth, Con Edison proposed significantly increasing the NYPA Facilities Charge, which applies primarily to streetlights owned by the City. Con Edison asserted that such facilities were

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[39] *See generally* Case 20-M-0082, Proceeding on Motion of the Commission Regarding Strategic Use of Energy Related Data.

[40] Joint Proposal at 116-117 and Appendix 23.

under-contributing to the cost of service in its Initial Filing. The City reviewed this assertion and offered testimony disputing the Company's position.[41] While the City continues to disagree that the streetlights are under-contributing, the settling parties agreed to a compromise on this issue, which reduces the size of the increase in the charge and brings the adjustment in line with standard Commission practice on gradualism and avoiding large customer impacts due to rate design and cost allocation changes.[42] The agreed-upon resolution is fair to all customers and should be adopted without modification.

Fifth, the Joint Proposal supports continued deployment of natural gas detectors in residential units with remote monitoring and access, along with expanded reporting regarding such devices.[43] These detectors have identified and led to repairs of numerous gas leaks before they could place residents and the public at large at risk of explosions. Moreover, the number of false positive alarms has been very low. Overall, the City, and the New York Fire Department in particular, has been pleased with the performance of these devices and believes they have been a positive contributor to public safety. Given their performance and benefits, expanding their deployment to all residential units is appropriate, and the Commission should continue to support their use.

Sixth, the City continues to strongly support efforts to reduce reliance on natural gas, avoid capital investments in gas infrastructure, and shrink the footprint of the gas system. Non-pipe alternatives comprise one set of tools to advance these efforts, and the Joint Proposal provides for

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41 Case 25-E-0072, *supra*, Pre-filed Direct Testimony of New York City Witness Michele Chait (filed May 30, 2025) at 30-32.

42 Joint Proposal at 56.

43 *Id.* at 75-76.

continuation and possible expansion of Con Edison's use of these alternatives.[44] Consistent with the CLCPA, the Commission should support non-pipes programs and direct Con Edison to evaluate ways to improve and expand its non-pipes programs. These provisions of the Joint Proposal are consistent with State law and policy and therefore in the public interest.

There also is one item that warrants mention because of its exclusion from the Joint Proposal, the revenue requirements, and Con Edison's capital spending plans. In the Initial Filing, Con Edison proposed to relocate its primary Emergency Control Center from New York City to a remote area in Westchester County. The preliminary estimated cost of this relocation was over $1 billion, and the actual cost likely could have been higher. It is important for its Emergency Control Center to be easily accessible by Company personnel located throughout its service territory under any conditions and circumstances by both car and transit. It also is important for Company personnel to be readily accessible to New York City, Westchester, and New York State officials. Being located in a remote location would create accessibility problems for both Company personnel and City and State government officials. As part of the settlement of these proceedings, Con Edison agreed not to pursue this project and maintain its Emergency Control Center in New York City. This is a positive development and should ensure that the existing extensive access and coordination that occurs during emergency situations between and among Con Edison, other utilities, and government officials will be maintained.

[44] *Id.* at 77-80.

CONCLUSION

For all the reasons set forth herein, the Commission should find that the Joint Proposal was developed consistent with the Commission's Settlement Guidelines and that the provisions of the Joint Proposal are reasonable, produce just and reasonable rates, and provide for safe and adequate service. Based on these findings, the Commission should determine that the Joint Proposal is in the public interest and adopt it without conditions or modifications as Con Edison's electric and gas rate plans for the period January 1, 2026 to December 31, 2028.

Respectfully submitted,

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